

Expected approval cost

40  
30  
20  
10  
0

0.0 0.1 0.2 0.3 0.4 0.5 0.6 0.7 0.8 0.9

Subsidy,  $\varepsilon$

Probability of opting out

1.0  
0.9  
0.8  
0.7  
0.6  
0.5  
0.4  
0.3

